

Point-of-Use Water - Two-Page Operating Benchmark

AquaVenture Holdings / Quench and Primo Water | Source report dated July 18, 2026

SUBVERTICAL THESIS

The core archetype is Quench's workplace point-of-use model: installed, provider-owned filtration equipment for a recurring fee. Route density and recurring billing support margins, while equipment ownership, service intensity and customer-site turnover constrain conversion and tenure.

METRIC	ESTIMATE	RATIONALE / EVIDENCE
Revenue growth	8%	Rationale. New placements, added units, price, retention, and acquisitions drive growth, not water throughput. Office health constrains Quench; mixed channels add refill effects. Support / caveat. Quench grew 45.4% in 2019, with 13.6% organic growth. CONFIDENCE: MIXED BY ARCHETYPE
EBITDA margin	28%	Rationale. Monthly fees create recurring contribution; technicians, travel, filters, sanitation, repairs, and mix consume margin. Dense workplace routes should outperform fragmented home/business service. Support / caveat. Quench reported \$32.4 million EBITDA on \$115.2 million 2019 revenue, a 28.1% margin. Primo's 12%-24% filtration range is inferred. CONFIDENCE: MIXED BY ARCHETYPE
Maintenance capex / revenue	13%	Rationale. Sustaining capital includes replacement systems, returned-unit refurbishment, service vehicles, removal, and reinstallation. Filters are operating cost. Support / caveat. Quench owns about 160,000 rental units. CONFIDENCE: LOW
Post-maintenance capex conversion	54%	Rationale. Recurring fees support EBITDA, but replacement and service assets absorb cash. This metric is not full free cash flow. Support / caveat. The 54% center uses Quench's 28% margin and 13% capex estimate. Primo's 56% case uses inferred 18% margin and 8% capex. CONFIDENCE: LOW
Initial contract tenor	1-12 mos	Rationale. Flexible terms reduce sales friction; some enterprise accounts run longer. Durability relies more on operating stickiness than legal lock-in. Support / caveat. Quench describes primarily month-to-month rental. CONFIDENCE: MIXED BY ARCHETYPE
Effective customer tenure	6 yrs	Rationale. Plumbing, service, billing, and multi-unit relationships extend life; office closure, downsizing, hybrid work, easy cancellation, and substitutes shorten it. Support / caveat. Quench averaged about 2.9 units per customer. Primo's rolling cancellation supports a lower 4-year company center. CONFIDENCE: MIXED BY ARCHETYPE
Utilization exposure	Moderate overall	Rationale. A lightly used contracted machine still earns; a returned unit does not until redeployed. Route density and technician productivity govern service economics. Support / caveat. Quench uses fixed pricing and 500+ technicians, with office-occupancy exposure. Primo diversifies office risk but can be harder to densify. CONFIDENCE: MEDIUM
New-unit or customer payback	Equipment 2.7 yrs CAC 1.0 yr	Rationale. Equipment payback uses installed cost and contribution after service and sustaining reserve. CAC payback is shorter because one account can support multiple machines. Support / caveat. Quench had 160,000 units and 55,000-plus customers, about 2.9 units per account. Primo plans start at \$27.99 monthly; installed cost is undisclosed. CONFIDENCE: LOW
B2B vs B2C	Predominantly B2B	Rationale. Workplace customers support density but add procurement complexity. Mixed home/business models broaden the funnel while increasing fragmentation and weakening contractual durability. Support / caveat. Quench is explicitly B2B and directs residential users elsewhere. CONFIDENCE: MIXED BY ARCHETYPE

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HOW TO READ THE UNIVERSE

Point-of-use providers replace bottle logistics with installed filtration, recurring service and route density. Quench is the clean workplace B2B anchor; Primo remains a mixed reference because filtration is combined with other water channels.

AquaVenture Holdings / Quench	Primo Water
WHAT IT DOES The relevant AquaVenture operation is Quench, excluding Seven Seas Water and desalination. Quench USA, Inc., now a Culligan subsidiary, installs company-owned filtration dispensers for institutional and commercial workplaces in the U.S. and Canada. Fixed-fee plumbed filtration replaces bottle storage, handling, and delivery. ECONOMIC MODEL The core unit is a machine; CAC and tenure sit at the customer location. Monthly rent includes maintenance and filters; installation may be separate. Multiple machines spread account setup cost. More than 500 technicians install, inspect, sanitize, change filters, and repair, making route density central. Working equipment, included service, predictable bills, and re-plumbing support retention; office closure, relocation, downsizing, hybrid work, rebids, and poor service cause churn. Returns require recovery, refurbishment, and reinstallation before earning again. SUPPORTING EVIDENCE FY2019 is the last standalone period. Quench had about 160,000 units and 55,000-plus customers, or 2.9 units per account, with \$115.2 million revenue, \$32.4 million adjusted EBITDA, 13.6% organic growth, and six acquisitions. Current materials describe mainly month-to-month rental and included service.	WHAT IT DOES Primo Water's installed filtration offer now sits inside Primo Brands after the November 2024 transaction. It places company-owned carbon or reverse-osmosis systems in homes and businesses, with floor, countertop, and under-sink formats from \$27.99 monthly. It solves taste and convenience needs without bottle logistics or self-managed maintenance. The benchmark excludes delivery, refill, exchange, dispenser sales, and unrelated products where possible. ECONOMIC MODEL The core unit is a filtration system; the account governs CAC and cross-sell. Primo owns, installs, leases, maintains, filters, sanitizes, repairs, bills, and sometimes monitors devices. Rolling cancellation lowers sales friction but makes retention depend on convenience, service, price, moves, and cross-sell. Home/business reach reduces office concentration but fragments routes and creates internal purchase, refill, exchange, and delivery substitutes. Cancelled equipment must be recovered and redeployed. SUPPORTING EVIDENCE FY2023 combined Refill/Filtration revenue was \$226.9 million versus \$192.0 million, so filtration growth is not separable. Customer equipment had \$235.0 million net book value and 2-15-year lives but included many non-filtration assets. Cancellation is flexible.

KEY DILIGENCE QUESTIONS

1. Obtain filtration-only revenue, installed units, churn, net retention, margin, service cost, and sustaining... | 2. Separate organic placements and price from tuck-in acquisitions at Quench and refill-driven growth at Primo. | 3. Measure returned-unit recovery, refurbishment, redeployment, and scrap rates by product family.